SL. No.120

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Video Conference

CORAM: HON'BLE BHASKARA PANTULA MOHAN,–MEMBER (J)
CORAM: HON'BLE DR. BINOD KUMAR SINHA -MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 31.05.2022 AT 10:30 AM THROUGH VIDEO CONFERENCE

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**IA (Companies Act)/2/2021 in CP (CAA) No.576/230/HDB/2019**
NAME OF THE COMPANY	**Crown Beers India Pvt Ltd (Transferor Co.) & Anheuser Busch Inbev India Ltd (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230**

ORDER

Order Pronounced vide separate sheets. Scheme stands rejected with liberty to file a fresh petition.

SD/-

MEMBER (T)

SD/-

MEMBER (J)

Ajay

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH - II

CP(CAA) No.576/230/HDB/2019

Connected with

C.A. (CAA) No.986/230/HDB/2018

[Application under Sections 230 to 232 of the Companies Act, 2013 r/w Rule 15 and 16 of the Companies (Compromises, Arrangements, and Amalgamations) Rules,2016]

In the matter of SCHEME OF AMALGAMATION

BETWEEN

CROWN BEERS INDIA PRIVATE LIMITED
(Transferor Company)

AND

ANHEUSER BUSCH INBEV INDIA LIMITED
(Transferee Company)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

In the matter of:

Crown Beers India Private Limited
CIN: U15531TG2007PTC052435
510/511, Minerva House
Sarojini Devi Road
Secunderabad – 500 003, Telangana
Represented by its Director
Ms. Reena Gautam

...Petitioner/ Transferor Company

Vs.

M/s. Anheuser Busch Inbev India Limited
CIN:U65990MH1988PLC049687
Unit No.301-302, Dynasty Business Park
B Wing, 3rd Floor, Andheri, Kurla Road
Andheri (East), Mumbai
Maharashtra – 400 059, India.

-Sd/-

... Transferee Company

Date of order: 31.05.2022

Coram:

Hon'ble Sri Bhaskara Pantula Mohan, Member (Judicial)
Hon'ble Dr. Binod Kumar Sinha, Member (Technical)

Parties / Counsels Present:

For the Petitioner(s) : Mr. Y. Suryanarayana, Advocate
Mr. Lokesh Agarwal, PCS

For the RD : Mr. Sujan Kumar Reddy, CGSC,
Mr.Shashiraj Dhara, JD

For OL : Official Liquidator

Heard on: 20.01.2022, 04.02.2022

[PER: BENCH]

I. The present Company Petition is filed under Sections 230 to 232 of the Companies Act, 2013 r/w Rule 15 and 16 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 praying for sanction of Scheme of Amalgamation of **M/s Crown Beers India Private Limited** with **M/s Anheuser Busch Inbev India Limited** and their respective shareholders and Creditors with effect from the Appointed Date i.e. on 01.04.2018. The Scheme of Amalgamation is filed as **Annexure-5 at page nos.154 to 194 of the application.**

SDK

II. The gist of the Petitioner's brief is -

i. **M/s. Crown Beers India Private Limited,** for short **'Petitioner / Transferor Company'** was originally incorporated under the Companies Act, 1956 under the name and style of Crown Beers India Limited, a Public Company on 22.01.2007 vide CIN No: U15531TG2007PTC052435, later on the company had itself converted itself into a Private Limited Company on 26.03.2010, having its Registered Office situated at 510/511, Minerva House, Sarojini Devi Road, Secunderabad – 500 003, Telangana.

ii. The Transferor Company is engaged (i) to carry on the business of manufacturing, buying, selling, trading, stocking, distributing or otherwise dealing in beers, alcohols, spirts, wines, brewery, distillery or any other product in this line of business in India or abroad and to act as supplier, agent, broker, dealer, facilitator of chemicals, organic/inorganic materials, raw materials, intermediaries required for manufacturing/production of the above (ii) bottling, packing, sealing, labelling in relation to the above said products etc.

A copy of Certificate of Incorporation & Fresh Certificate of Incorporation and Memorandum and Articles of Association of the Company is filed as Annexure-1 at page nos.36 to 47 of the petition.

SD1-

iii. The Share Capital structure of the Transferor Company as on 31st December 2018 is as follows:

Particulars	Amount (Rs.)
Authorised Capital	
100,00,00,000 equity shares of Rs. 10/- each	1000,00,00,000
1, 2% non-cumulative redeemable preference share of Rs.1,00,000/- (Rupees One Lakh) each	1,00,000
Total	**1000,01,00,000**
Issued, Subscribed and Paid-up Capital	
58,45,67,979 Equity shares of Rs. 10/- (Rupees Ten only) each	5,84,56,79,790
1, 2% non-cumulative redeemable preference share of Rs.1,00,000/- (Rupees One Lakh) each.	1,00,000
Total	5,84,57,79,790

A certified copy of the Audited Financial Statements of the Transferor Company as on 31st December 2017 is filed as **Annexure - 2 at page nos. 48 to 78 of the petition**. There has been no material change in the share capital structure of the Transferor Company subsequent to 31st March 2018.

iv. **Anheuser Busch Inbev India Limited,** for short **'ABIL/ Transferee Company,** formerly known as SABMiller India Limited was incorporated under the Companies Act, 1956 under the name and style of Morkutir Investments &

SDI

Trading Company Private Limited on 18.11.1988. The name of the Company was changed to Morkutir Investments & Trading Company Limited on 11.10.2002, changed to SKOL Breweries Limited w.e.f. 22.05.2003, changed to SABMIller India Limited w.e.f. 22.06.2012 with CIN No.U65990MH1988PLC049687. Later, the Company had changed its name to Anheuser Busch Inbev India Limited. Consequent upon change of name, ROC, Maharashtra, was issued a fresh certificate of incorporation on 28.05.2018. The Registered Office of the Transferee Company is situated at Unit No.301-302, Dynasty Business Park, B Wing, 3rd Floor, Andheri Kurla road, Andheri (East), Mumbai City, Maharashtra – 400 059, India.

v. The Transferee Company is carrying on the business to purchase, sell, import, export and trade in all kinds of merchandise, including medicinal, chemicals, pharmaceuticals and biological preparations all types of stationery items, toilet requisites, preserved food items and perfumery articles etc.

A copy of the Certificate of Incorporation & Fresh Certificate of Incorporation and Memorandum and Articles of Association of the Company is filed as Annexure-3 at page nos.79 to 87 of the petition.

SD/-

vi. The share capital structure of the Transferee Company as on 31st December 2018 is as follows:

Particulars	Amount in Rupees
Authorised Capital	
45,00,00,000 equity shares of Rs. 10/- (Rupees Ten only) each	450,00,00,000
Total	**450,00,00,000**
Issued, Subscribed and Paid-up Capital	
40,85,77,878 equity shares of Rs. 10/- (Rupees Ten only) each	408,57,78,780
Total	**408,57,78,780**

A certified copy of the Audited Financial Statements of the Transferee Company as on 31st December 2017 is filed as **Annexure-4 at page nos. 88 to 153 of the Petition**. There has been no material change in the share capital structure of the Transferee Company subsequent to 31st March 2018.

III. APPROVAL OF BOARD OF DIRECTORS OF TRANSFEROR COMPANY AND TRANSFEREE COMPANY.

The Board of Directors of the Petitioner/ Transferor Company at their Board Meeting held on 23.11.2018 approved the Scheme. A certified true copy of the Board Resolution passed by the Board of Directors of the Petitioner Company is filed as **Annexure-8 at page nos. 203 to 205 of the petition.**

IV. RATIONALE, OBJECTIVE & PURPOSE OF THE SCHEME.

It is averred that the proposed Scheme of Amalgamation will benefit the Transferor Company, the Transferee Company and their respective shareholders. The rationale and reasons for the

-Sd/-

proposed Scheme of Amalgamation, inter alia, are summarized below:

i. The Transferor Company and the Transferee Company are into similar business (i.e. brewing, packaging, distribution, marketing, sale of beer etc.), thereby the proposed Scheme of amalgamation will consolidate, expand and increase its presence in the business thereby streamlining of management focus and pruning the operational and administration costs.

ii. The proposed Scheme of Amalgamation will enable appropriate consolidation of the activities of the Transferor Company and the Transferee Company with pooling and more efficient utilisation of their resources, greater economies of scale, reduction in overheads and other expenses and improvements in various overheads and other expenses and improvement in various operating parameters.

iii. To achieve synergistic integration and consolidation of the businesses presently being carried on by the Transferor Company and the Transferee Company which shall be beneficial to the shareholders, creditors and employees of such companies as such proposed Scheme of Amalgamation would create greater synergies between the businesses of these companies and would enable them to have access to better financial resources as well as increase the managerial efficiencies, while effectively pooling the technical, distribution and marketing skills of each other.

iv. To achieve consolidation, greater integration and financial strength and flexibility which will maximise overall shareholder value and improve the competitive position of the combined entity.

v. To achieve greater efficiency in cash management and unfettered access to cash flows generated by the combined business which can be deployed more effectively to fund organic or inorganic growth opportunities.

vi. The proposed Scheme of Amalgamation will result in reduction of multiplicity of entities, thereby reducing compliance cost of multiple entities. Therefore, the proposed Scheme of Amalgamation shall be beneficial to the shareholders, creditors and employees of the two companies.

V. 1ST STAGE APPLICATION

i. This Tribunal vide Order in CA (CAA) 986/230/HDB/2018, dated 06.02.2019 directed the Petitioner/ Transferor Company to convene the meetings of the Equity Shareholders of the Transferor Company; Preference Shareholders of the Transferor Company; and Unsecured Creditors of the Transferor Company to consider the Scheme and further dispensed with convening the meeting of the Secured Creditors of the Petitioner/ Transferor Company. Mr. Leela Prasad, Advocate was appointed as Chairperson and Mr. P.V.Narasayya was appointed as Scrutinizer by the same order, convened the meetings of the Equity Shareholders, Preference Shareholders

SD/-

and Unsecured Creditors of the Transferor Company on 18.06.2019 and filed their reports.

ii. As per the Chairperson's report, 4 members holding 58,45,67,979 equity shares of Rs.10/- with 100% voting in person or through proxy voted in favour of the resolution. The Chairperson's report is annexed and marked as **Annexure -14 at page nos. 842 to 852 of the petition.**

iii. As per the Chairperson's report, one sole Preference Shareholder of Rs.1,00,000/- constituting 100% of the total Preference Paid-up Capital of the Transferor Company through its authorised representative Ms. Aishwarya Khanna voted in favour of the resolution. The Chairperson's report is annexed and marked as **Annexure - 15 at page nos. 853 to 859 of the petition.**

iv. As per the Chairperson's report, 14 Unsecured Creditors in person to whom a total sum of Rs.445,76,19,246/- is due by the Applicant/Transferor Company as on 31.03.2019, constituting 62.82% of the creditors attended the meeting and all voted unanimously in favour of the proposed Scheme.

VI. REPORTS FROM STATUTORY AUTHORITIES:

i. It is stated that this Tribunal on 11.09.2019 directed the Transferor Company to issue notices to the statutory authorities viz. Regional Director, Registrar of Companies, Official Liquidator and IT Department and also publication in Business Standard (English) and Nava Telangana (Telugu) newspapers in Hyderabad Edition. Accordingly, notices were served on the

SD1-

above authorities and publication carried out in newspaper on 01.10.2019.

ii. The Regional Director, South Eastern Region, MCA, Hyderabad filed his reports on 30.10.2019, 27.01.2020, 12.03.2020 and 16.12.2021. The observations made by the Regional Director, SER and reply given by the Petitioner Company, vide reply Affidavit dated 18.08.2021 are given against each.

Observations by Regional Director	Reply affidavit by the Petitioner Company
RD Report dated 29.10.2019 (1st Report)	
Page 2 at Para 2: Issued a letter seeking various information/documents for examining the petition vide Directorate's Letter No.3/Amal/Hyderabad/012/RD(SER) 2019/4645, dated 10.10.2019 to the Transferor Company to the registered office address. But the said letter has been undelivered with postal remarks "Left" (copy of the envelope is enclosed for ready reference) and requested the Tribunal to not consider the petition filed by the Petitioner/Transferor Company as the very existence of the said petition is in doubt.	--------
RD Report dated 24.01.2020 (2nd Report)	**Reply affidavit by the Petitioner Company**
Page 2 at Para 3: As per the directions of the Hon'ble Tribunal vide Order dated 07.11.2019, another letter dated 18.11.2019 was issued to the Transferor Company at its Registered Office. No reply has been submitted by the Transferor Company. Further, reminder was also issued to the Transferor Company on 10.01.2020, till date no reply in the matter has been submitted by the Company.	----
Page 2 at Para 4: The Official Liquidator, vide his Letter dated 14.01.2020 submitted that the Transferor	

sd

Company has not furnished the information sought by his office vide letters dated 17.12.2019 and 09.01.2020 and the Counsel for the Petitioner Company sought time before the Hon'ble Tribunal assuring to furnish required information to the Official Liquidator. However, till date no further report has been furnished by the Official Liquidator.	----
Page 2 at Para 5: Till date no reply has been received from the Petitioner Company. In view of non-compliance by the Petitioner Company is not serious to pursue the application and therefore the Hon'ble Tribunal may be pleased to dispose of the application as rejection and pass orders, as deemed fit and porper.	--------
RD Report dated 12.03.2020 (3rd Report)	**Reply Affidavit filed by the Petitioner Company dated 28.07.2021 which was received by the Registry on 18.08.2021**
Page 2 at Para 2: Issued a letter seeking various information/documents for examining the petition vide Directorate's Letter No.3/Amal/Hyderabad/012/RD(SER) 2019/4645, dated 10.10.2019 to the Transferor Company to the registered office address. But the said letter has been undelivered with postal remarks "Left" (copy of the envelope is enclosed for ready reference) and requested the Tribunal to not consider the petition filed by the Petitioner/Transferor Company as the very existence of the said petition is in doubt.	It is submitted that this was on account of the office representative not being available in the office premises when the notice was delivered.
Page 2 at Para 3: As per the directions of the Hon'ble Tribunal vide Order dated 07.11.2019, another letter dated 18.11.2019 was issued to the Transferor Company at its Registered Office and reply dated 06.12.2019 has been furnished by the Transferor Company before this Directorate on 24.01.2020.	---------
Page 2 at Para 4: The Registrar of Companies vide his Report dated ROCH/Amal/046893/ 230/2019/2940, dated 12.02.2020 pointed out various observations, which are as under:	

SDJ—

a. Petitioner company has filed its financial Statements only upto 31.12.2017 and Annual Return upto 30.08.2018.	As per the provisions of the Companies Act, 2013, financial statements in Form AOC-4 and Annual Return (in Form MGT-7) are to be filed with the ROC within 30 days and 60 days of the date of the Annual General Meeting (AGM) respectively. It is submitted that the company follows Calendar Year (CY) as its Accounting Year. The Company has filed its Annual return for CY 2018 in Form MGT-7 on 18.11.2020 and submitted its Audited Financial Statements for the CY 2018 in Form AOC-4 on 17.11.2020. The Audit for CY 2019 has been recently concluded. Further, the Company shall shortly hold the AGM and file the Annual Return and Audited Financial Statements for CY 2019 with the ROC in due course.
a. Auditors have qualified their report attached to Balance Sheet as at 31.12.2017 regarding Trade Payable (Note 5 of the Auditors Report). Trade Payables (Note 28 of the Auditors Report) and Managerial Remuneration payable (Note 36 of the Auditors Report) for which Board have admitted the violations and are in the process of initiating remedial action as stated in the Directors Report. Thus, the company's Financial Statements does not show a true and fair view to that extent.	The Board of directors in their report for CY 2018 have addressed the Auditor's qualification regarding non-availability of adequate MSME information and clarified that the Company has fixed its internal processes and relevant backups are available for the subsequent periods to identify MSME suppliers. However, for years prior to CY 2018, basis legal advice obtained, the Company understands that such offence is non-compoundable under the Companies Act, 2013 and therefore, compounding action could not be initiated against it. Further, the Company is in the process of obtaining legal advice for appropriate remedial action under the MSME Act, 2002.
b. Auditors have qualified the excess managerial remuneration Rs.2.15 crores which was beyond the amount approved by the Central Government. The Company has	It is submitted that these were one-time non-compliances and are non-recurring in nature. With respect to such non-compliance,

stated in the notes that the company is in the process of filing a compounding application.	the Company has filed compounding applications. **Copies of the Compounding Applications filed in Form GNL-1 with the ROC, for contravention of Section 200, Section 309 and Section 297 of Companies Act, 1956 have been filed as Annexure-3A, 3B and 3C respectively of the Reply Affidavit.**
c. Auditors have qualified their report in respect of transactions in violations of Section 297 and 314 of the Companies Act, 1956.	It is submitted that these were one-time non-compliances and are non-recurring in nature. With respect to such non-compliance, the Company has filed compounding applications. Copies of the Compounding Applications filed in Form GNL-1 with the ROC, for contravention of Section 200, Section 309 and Section 297 of Companies Act, 1956 have been filed as Annexure-3A, 3B and 3C respectively of the Reply Affidavit.
d. Auditors have qualified their report and the company in its notes has submitted (Notes No.39 in financial statements) that one of the Directors have submitted his statement under Section 164(2) of the Companies Act, 2013 that he is not a disqualified director.	It is submitted that Mr. Madhusudan Krumeti Sharma is no longer, a director of the Company and the requisite declaration was provided by the Director in Form DIR-8 but the Company is unable to locate it. Hence, in the Company's view, the director was in compliance with the provisions of the Companies Act, 2013 and may not be held as disqualified. The Company is however, in the process of obtaining legal advice for potential remedy against such qualification in the auditor's report. It is brought to the notice of the Regional Director that the statutory auditors have stated in the Audit Report to the financial Statements that subject to the above qualifications, the financial statements present a true and fair view of the financial position of the Company. The qualifications are one-time non-compliances

SD/-

	and the company has already undertaken corrective measures and has filed compounding petition for the non-compliances compoundable under the Companies Act, 2013. Without prejudice to the above, as per Clauses 5.1.1(d) and 5.1.1(i) of the Scheme (Annexure-4) post-merger, all the pending liabilities and legal proceedings of the Transferor Company shall be transferred to and enforceable against the Transferee Company in the same manner as these were enforceable against the Transferor Company. Therefore, the proposed merger will not cause any adverse impact to the statutory and revenue authorities on account of any pending liabilities or legal proceedings. Further, given that the Transferee Company has a better financial standing vis-à-vis the Transferor Company, the past non-compliance will be adequately addressed and made good by the Transferee Company post-merger.
e. The Balance Sheet as at 31.03.2017 is not certified by a Company Secretary as required under Section 129 of the Companies Act, 2013 and as per Signatory details available in MCA Portal, the Company has not appointed a Company Secretary as required under Section 203 of the Companies Act, 2013 read with Rule 8A of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.	The ROC has also highlighted that the Balance Sheet as at 31.03.2017 is not certified by a Company Secretary as required under Section 129 of the Companies Act, 2013 and as per signatory details available in the MCA portal, the Company has not appointed a Company Secretary as required under Section 203 of the Companies Act, 2013 r/w Rule 8a of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. It may be noted that Section 134 of the Companies Act, 2013 requires that the financial statements of the Company shall be signed on behalf of the Board by the chairperson (if authorised by the Board), or two directors

	(out of which, one shall be the Managing Director, if any) and the Chief Executive Officer (CEO), Chief Financial Officer (CFO) and the Company Secretary (wherever appointed). The Financial Statements as on 31.03.2017 are special purpose financial statements prepared for tax audit purpose only, as the Company follows calendar year as its financial year. Therefore, per section 134 of Companies Act, 2013 and to the best of Company's knowledge, there is no requirement for the Company Secretary to certify such special purpose financial statements. The Company has a whole-time Company Secretary as per Rule 8A of Companies (Appointment and Remuneration of Key Managerial Personnel) Rules, 2014.
f. The Company has been following the Calendar year as its financial year. Hence, the Petitioner Company to preserve its books of accounts and papers and records and shall not dispose off without the prior permission of the central Government in terms of provisions of Section 239 of the Companies Act, 2013.	The Company shall comply with the company law regulations.
g. To ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme, the applicant company shall not be absolved for any of its statutory liability in any manner.	The Company shall not be absolved of any statutory liabilities pursuant to the merger. The Company has already filed necessary compounding application for past non-compliances highlighted by the auditors to the extent possible, under Companies Act, 2013. Further, as laid down in Clauses 5.1.1(d) of the Scheme of Amalgamation between Transferor Company and Transferee Company, with effect from the appointed date (i.e. 01.04.2018) all liabilities of the Transferor Company shall stand transferred and vested in the

	Transferee Company. Therefore, the Transferor Company shall not be absolved of any of its statutory liabilities upon the approval of the Scheme by the Hon'ble NCLT as these shall be recoverable from the Transferee Company.
h. To comply with Rule 17(2) of "The Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the office of Registrar of Companies by the Petitioner Company.	The Transferor Company shall file a certified copy of the order of the Hon'ble NCLT approving the merger with the ROC within 30 days of receipt of the same in compliance with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013.
i. The Transferee Company shall file an application with Registrar of Companies. Telangana Hyderabad indicating the revised authorized capital and proof of paying prescribed fees dues on revised capital after setting off the fee already paid by the Transferor Companies.	The Transferor Company shall comply with the requirement of filing an application, alongwith prescribed fees due on revised share capital (post set-off of fee already paid by Transferor Company) with the ROC of the Transferor Company (i.e. Telangana) indicating the revised authorised share capital pursuant to the Scheme becoming effective.
Page 4 at Para 5: As per Clause 1(d) of Part-A of the Proposed Scheme, the appointed date is mentioned as 01.04.2018. However, from the Company's Master Data, it is observed that the Company has not filed its due Annual Return and Balance Sheet upto date. Hon'ble Tribunal may be pleased to direct the Petitioner/Transferor Company to file their due Statutory Returns and change the appointed date from 01.04.2018 to 01.04.2019 and to file a fresh Scheme duly certified by the Petitioner Company alongwith an affidavit stating that the proposed scheme is not against the public interest and also to direct the Petitioner/Transferor Company to file its Income Tax Returns and any other pending dues if any to be paid to any other appropriate authorities.	➢ It is submitted that this has already been replied above. ➢ Regarding change of appointed date from 01.04.2018 to 01.04.2019, it is clarified that it had filed the merger application on 28.11.2018 before the Hon'ble NCLT, Hyderabad. Accordingly, from the perspective of convenience in compliances post-merger, 01.04.2018 was fixed as the appointed date for the merger. ➢ The Hon'ble NCLT, Mumbai Bench vide its Interim Order dated 26.02.2021 in CP(CAA)/1027/2020/MB in CA(CAA)1554/ 2018/MB has directed the Transferee Company to change the appointed date of the Scheme

	of Amalgamation from 01.04.2018 to 01.04.2020. **A copy of the same is filed as Annexure-5 of the Reply Affidavit.** ➢ The Company is in the process of filing an interlocutory application alongwith a copy of the modified scheme with the revised appointed date before your goodself separately. ➢ The company is in the process of undertaking adequate statutory compliances as required under law. Further, the Hon'ble NCLT, Mumbai has revised the appointed date of merger to 01.04.2020 and accordingly, the company is in the process of filing a modified scheme with the revised appointed date with your goodself. ➢ It is submitted that as per the provisions of the Companies Act, 2013, a meeting of the concerned stakeholders i.e. the equity shareholders, preference shareholders and creditors of the company was held on 18.06.2019 to seek their approval to the proposed Scheme of Amalgamation. It may be noted that all the shareholders and creditors of the Company present and voting at the meeting unanimously approved the proposed merger. ➢ Clause 5.1.1(j) of the Scheme states that all the employees of the Transferor Company who continue to be in employment of the Company as on the date immediately prior to the Effective Date shall become the employees of the Transferee Company

	on the Scheme becoming effective. Therefore, the interest of the employees is also duly taken into consideration. ➢ No observation has been made by the statutory authorities claiming that the Scheme is against public interest. The merger does not absolve the statutory dues pending against the Company as these can be enforced against and recovered from the Transferee Company in the same manner as from the Transferor Company. ➢ It is submitted that the Scheme is not prejudicial to the interest of the public. ➢ It is submitted that the company has been regular in filing income tax returns and the pending dues of the Transferor Company are on account of disputed liabilities. Once such disputes are settled, liabilities, if any, would be duly settled by the Company within the statutory due dates. Therefore, currently the company is not liable to settle such disputed liabilities. Furthermore, as per para 5.1.1(d) of the Scheme, all liabilities of the Transferor Company shall vest with the Transferee Company on merger. Therefore, tax liabilities (if any) of the Transferor Company, arising on settlement of dispute in the future, will be duly discharged by the Transferee Company using the combined financial resources pursuant to merger.

Sd/-

Page 4 at Para 6: The Official Liquidator, Hyderabad vide letter dated 14.01.2020 has submitted that the Transferor Company has not furnished the information/details sought by his office vide letter dated i.e. 17.12.2019 and 09.01.2020 and the Counsel for the Petitioner Company sought time before the Hon'ble Tribunal assuring to furnish required information to the Official Liquidator. Accordingly, a letter dated 18.02.2020 was issued by this Directorate to Petitioner/Transferor Company i.e. Crown Beers India Private Limited at its Registered Office address. Whereas the said letter was again received back undelievered with the postal remarks "Left".	➢ The best of Company's knowledge, no notice dated 17.12.2019 and 09.01.2020 was issued to the Company to furnish additional information. The Company understands that the initial notice was issued by the OL's Office on 10.01.2019. Based on interactions with the Hon'ble OL, a Company representative visited the Hon'ble OL's office in person on 06.12.2019 and 03.03.2020 to address and clarify his follow-up queries. On the second visit by the Company representative, the Hon'ble OL also issued an additional notice dated 21.03.2020 and complete information as requested by the Hon'ble OL's office has been furnished by the Company on 05.09.2020. Further, additional follow-up questions of the Hon'ble OL have also been duly addressed by the Company vide submission dated 28.01.2021. ➢ As regards the issue of violation of Section 12 of Companies Act, 2013 for non-maintenance of registered office, it is submitted that the Transferor Company has a registered office as can be verified from its MCA records and is in the compliance with the provisions of the Company Law. Further, the Company has been in regular receipt of official communications including notice from the OL's office at its registered office. If requisitioned by your goodself, we would be happy to furnish details evidencing maintenance of registered office by the company in accordance with statutory laws.

	➢ Contrary to the remarks made by the Hon'ble RD, the Company is serious about the merger and has invested several hours of time, effort and cost in obtaining necessary approvals for the merger since November, 2018 as it believes that the merger would lead to more efficient utilisation of resources, greater economies of scale, reduction in overheads and other expenses and improvement in various operating parameters. Further, the Company has duly complied with all the relevant statutory provisions in relation to compromises, arrangements and amalgamation and has duly furnished the information and documents sought by the statutory authorities from time to time.

Basing on the compliance report submitted by the Learned Counsel for the Petitioner Company as stated above, the Regional Director, SER has filed Additional Affidavit dated 16.12.2021 (4th Report) and requested the Tribunal to consider the observations made in his additional report, which is as follows:

1. The contents/observations were pointed out by this Directorate vide Affidavits dated 29.10.2019, 24.01.2020 & 11.03.2020 and have already requested the Hon'ble Tribunal to reject the petition and the Petitioner Company be directed to file a fresh scheme before this Tribunal.

2. On 23.08.2021, the counsel for the Petitioner Company had filed an IA No.2/2021 before this Hon'ble tribunal wherein (para 4) it

SDI-

has been stated that Hon'ble NCLT, Mumbai Bench vide its Interim Order dated 26.02.2021 in CP(CAA)/1027/2020/MB in CA(CAA)1554/2018/MB has directed the Transferee Company to change the appointed date of the Scheme of Amalgamation from 01.04.2018 (old appointed date) to 01.04.2020 (modified appointed date). As per the attendance-cum-order sheet dated 09.12.2021, the Hon'ble Tribunal has directed to file a memo confirming no objection. Directorate is of the view that the Petitioner Company may not merely, change the appointed date from 01.04.2018 to 01.04.2020, as there are certain observations of the Directorate as stated below:

i. As per the provisions of Section 230 of the Companies Act, 2013 r/w Rule 6 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 clearly states that where an application is made to the Tribunal under Section 230 for sanctioning of a scheme involving merger or amalgamation requiring valuation report shall be made by a Registered Valuer as per the provisions laid down under Section 247 of the Companies Act, 2013 with regard to latest audited financial statements of the Company including consolidated financial statements.

ii. As per the provisions of Section 230 of the Companies Act, 2013 r/w Rule 6 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 clearly states that where an application is made to the Tribunal under Section 230 for sanctioning of a scheme involving merger or amalgamation, the report requiring a certificate issued by Auditor of the Company, with regard to latest audited financial statements of the Company including

SDI-

consolidated financial statements, to the effect that the Accounting Treatment, if any, proposed in the Scheme of compromise or arrangement is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013.

3. As the Petitioner Company proposes to change the appointed date from 01.04.2018 to 01.04.2020, the Petitioner Company is required to file its due latest financial statements and then has to comply with the conditions stated at as stated at para 2 (i) & (ii) above and the same has to be approved by the Shareholders and Creditors in their respective meetings. Whereas, as per Company Master Data the latest Balance Sheet filed by the Petitioner Company is for the period ended 31.12.2019 and Transferee Company for the year ending 31.03.2019 only and not filed its due Balance sheet for the year 2019-2020 & 2020-2021 and valuation report as required to be made on the latest financial statement and the same is not done by the Petitioner Company. It appears that the proposed change in the appointed date from 01.04.2018 to 01.04.2020 was not approved by the members and creditors.

4. The Petitioner Company in its IA has not stated whether, the said IA have been served to all the Regulatory Authorities i.e. Official Liquidator, RBI/FEMA etc. as there might be changes in the shareholding pattern, financial statements, profit & loss account, exchange ratio, valuations, increase/decrease of Income Tax Demands, if any. As on 31.03.2018, there are seven shareholders i.e. Anheuser-Busch Netherlands Holdings II B.V., Anheuser-Busch Netherlands Holdings I.B.V., Anheuser-Busch Worldwide Investments Inc., Budwiser Hong Kong Holding

SD/-

Company Limited and Harbin Brewery Group Holding holding 58,45,67,979 equity shares and all the seven shareholders are foreigners.

5. The Hon'ble Tribunal may be pleased to dispose of the petition, directing the Petitioner Company to file a fresh Scheme after filing their due Statutory Return and also to issue directions for the observations as made in the affidavit dated 11.03.2020 filed before the Hon'ble Tribunal on 12.03.2020.

VII. The Official Liquidator, vide his Reports OLR No.8/2020, 38/2021 and 61/2021 dated 11.03.2020, 07.09.2021 and 09.11.2021 respectively raised few objections to which the Petitioner Company filed its reply affidavit dated 03.02.2021.

Comments / Observations of the Official Liquidator vide report dated 11.03.2020	**Reply of the Petitioner vide Affidavit dated January, 2021, which was received by the Tribunal on 03.02.2021**
Page 10, para 5(a) The Clause 5.1.1(j) of Scheme seeks to protect the employees of the Transferor Company, if they are in service immediately prior to the Effective date and accordingly Hon'ble NCLT may be pleased to direct the Transferor Company and Transferee Company to submit an undertaking to this Hon'ble NCLT to the effect that there would no retrenchment of any employee who were in service as on Appointed Date (i.e. 01.04.2018) as well.	The Petitioner Company undertakes that there would be no retrenchment of any employee of the Transferor Company who were in service of the Petitioner Company as on the Appointed Date.
Page 10, para 5(b) With reference to Clause 1(k) r/w 7.1.1 of the Scheme dealing with 'Record Date', leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Transferee Company alone without the involvement of Transferor Company, the Hon'ble NCLT may be pleased to direct the Transferor Company and Transferee Company to submit an undertaking to	The Petitioner Company undertakes that the Record Date would be decided and fixed mutually by the Board of Directors of both the Companies immediately after the sanction of the Scheme before dissolution of the Transferor Company.

SD/-

this Hon'ble NCLT to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of both the companies in the Scheme immediately after sanction of the Scheme and before dissolution of the Transferor Company on effective date.	
Page 10, para 5(c) Clause 1(d) of the Scheme provided the Appointed date as 01.04.2018 which is very old, as of now, hence this Hon'ble NCLT may direct the Transferor and Transferee Company to explain to this Hon'ble NCLT the rationale for still having such old date as Appointed Date in the Scheme instead of seeking to change to latest date.	The Petitioner Company had filed the Company Application on 28.11.2018 before this Hon'ble Tribunal seeking directions for convening the meetings. Accordingly, 01.04.2018 was fixed as the appointed date in this Scheme of Amalgamation. However, the Petitioner Company shall change the appointed date to 01.04.2019 or to such other date as may be deemed fit, if this Hon'ble Tribunal so directs.
Page 10, para 5(d) For the period of January, 2018 to March, 2018 (i.e. prior to Appointed Date 01.04.2018) audited financials under the provisions of the Companies Act, 2013 are not available. Further the Transferor Company admittedly not finalized / filed audited financial statements as at 31.12.2018 / 31.03.2019 though it was overdue and hence the Official Liquidator is not in a position to submit their report completely in the absence of latest audited financials either as at 31.03.2018 (Appointed Date) or 31.12.2018 / 31.03.2019.	The Petitioner Company follows the calendar year (CY) as its accounting year and is not required to maintain any separate financial statements for the period January 2018 to March 2018. However, as required for tax purposes, the Transferor Company has maintained special purpose financial statements as on 31 March 2018 (covering details of the above 3 month period) which was submitted with the OL office on 04.10.2019. Further, the Petitioner Company had furnished the audited financial statements as on 31.12.2018 and audited special purpose financial statements as on 31.03.2019 vide submission dated 05.09.2020 (A copy of the submissions made before the office of the OL on 05.09.2020 is enclosed herewith and marked as "Annexure-2").
Page 10, para 5(e) There are certain audit qualifications and full information regarding the same is still awaited to be received by the Official Liquidator from the Transferor Company.	The details of auditor qualification have been duly furnished vide submission dated 5 September 2020. It is further most respectfully submitted that the above submission is currently under review by the office of the Hon'ble Official Liquidator. Based on our recent discussion with the Hon'ble Official Liquidator, the Petitioner Company has been directed to furnish additional clarifications, which the Company is in the process of submitting.

SD/-

Page 10, para 5(f) The information / details which was called by this office is yet to be received completely from the Petitioner Company and the representative of the Petitioner Company sought time to submit their reply vide its latest e-mail dated 09.03.2020. On receipt of information / details from the Petitioner Company, the Official Liquidator craves leave of this Hon'ble Tribunal to permit to submit additional report / make submissions before the Hon'ble Tribunal about the affairs of the Transferor Company completely.	The Hon'ble Tribunal may be pleased to award an opportunity to the Petitioner Company to address the observations of the Hon'ble Official Liquidator, if any, raised by way of an additional report.
Comments / Observations of the Official Liquidator vide report dated 07.09.2021	**Reply of the Petitioner vide Affidavit dated 30.09.2021, which was received by the Tribunal on 05.10.2021**
The Petitioner has filed I.A. in CP (CAA) No.576/230/ HDB/2019 before this Hon'ble Tribunal for modification of the Scheme with respect to the appointed Date from 01.04.2018 to 01.04.2020 and the same is pending before this Hon'ble Tribunal. Further, the Petitioner has not furnished the audit financials upto 31-03-2020. Hence, the Hon'ble Tribunal may be pleased to direct the Petitioner herein to submit the audit financials upto 31-03-2020 to the Official Liquidator for verification and record.	An Interlocutory Application along with the Modified Scheme seeking approval of this Hon'ble Tribunal for changing the appointed date from 01.04.2018 to 01.04.2020 has already been filed which is pending before this Hon'ble Tribunal. The Audited financial statements upto 31.03.2019 has already been submitted and the audited financial statements of the Petitioner Company for the year ended 31.12.2019 and for the year ended 31.03.2020 (being special purpose financial statements) are filed vide Annexure-1 & 2.
The Petitioner herein has furnished the Tax audit report as at 31-03-2018 and audit financials as at 31-12-2018 to the Official Liquidator. The Petitioner Company has filed IA before this Hon'ble Tribunal for change of appointed date from 01-04-2018 to 01-04-2020. Hence, the Hon'ble Tribunal may be pleased to direct the Petitioner herein to submit the audit financials upto 31-03-2020 to the Official Liquidator for verification and record.	The latest tax audit report of the Transferor Company (i.e. tax audit report as at 31.03.2020) is filed vide Annexure-3.
The Petitioner has informed that the company has filed 3 different Compounding Applications under Sections 200, 297 & 309 of the Companies	Certain audit qualifications in the audit reports have been addressed by the Company by filing three separate Compounding Applications. Further, an

SD/-

Act, 2013 and the same are pending before this Hon'ble Tribunal.	affidavit in relation to undertaking possible future liability / claim arising in the name of the Transferor Company, if offences are not compounded prior to the merger, by the Transferee Company, has been furnished vide Annexure-4 (vide letter dated 24-09-2021). Further, in relation to the audit qualifications in the auditor's report for the calendar year ended 31.12.2019, the Director's report of the Transferor Company addressing the audit qualifications has been furnished vide Annexure-"5".
The Petitioner herein has submitted certain information in response to this office letter dated 02-03-2020 and still they have to submit certain information along with audit financials as on 01-04-2020. Hence, the Hon'ble Tribunal may be pleased to direct the Petitioner herein to submit the remaining information as per the Official Liquidator's letter dated 02-03-2020 along with audit financials upto 31-03-2020 for verification and submit further report, if any.	i. <u>Statutory registers for related party transactions:</u> Statutory registers for related party transactions updated till 31.03.2018 before OL vide submission dated 04.09.2020 and further, the statutory register for related party transactions updated till 31.12.2020 is furnished vide Annexure-6. ii. <u>Status of Audit for year ended 31-12-2019:</u> The audit process of the Company for the year ended 31-12-2019 is completed and the audited financial statements for the above period have been filed with Ministry of Corporate Affairs ('MCA') in Form AOC-4 and the audited financials for the above period is furnished vide Annexure-1 and copy of Form AOC-4 is furnished vide Annexure-7. iii. <u>Disqualification of Director u/s 164 of Companies Act, 2013:</u> As per the auditor's report of the Company, Mr.Madhusudan Krumeti Sharma, one of the directors of the Company as on 31-12-2017 had failed to provide a written representation confirming that he is not disqualified from being appointed as the director of the Company in accordance with the provisions of section 164 of the Companies Act, 2013. In this regard, the Petitioner Company humbly submits that the requisite declaration was provided

SD/-

	by the Director in Form DIR-8. However, the Company is unable to locate the declaration shared in this regard. **iv.** An Affidavit in relation to undertaking possible future liability / claim arising in the name of the Transferor Company in this regard, by the Transferee Company, has been furnished vide Annexure-8 (vide letter dated 23-09-2021).

Basing on the compliance report submitted by the Learned Counsel for the Petitioner Company as stated above, the Official Liquidator has filed additional Affidavit dated 09.11.2021 and requested the Tribunal to consider the following observations made in his additional report:

i. As per the Financial Statements as at 31.12.2019 and 31.03.2020, the Transferor Company is a loss-making company.

ii. The Transferor Company filed IA along with modified Scheme for change of Appointed date from 01.04.2018 to 01.04.2020. However, the share capital is not updated as on revised appointed date (i.e. 01.04.2020) and remained the same as on old appointed date (i.e. 01.04.2018).

iii. The I.A. filed by the Petitioner Company is yet to be ordered by this Tribunal.

iv. Clarification has been given and the Transferee Company has submitted Affidavit vide letter dated 24.09.2021 **(Annexure-4 at page no.156 of the reply affidavit)** for the possible future liability of the Transferor Company.

v. Clarification is given and the Transferee Company has submitted Affidavit vide letter dated 23.09.2021 (Annexure-8 at page nos.169

SD/-

to 170 of the reply affidavit) for the possible future liability / claim. Hence, the Hon'ble Tribunal may decide the same on merits.

VIII. ACCOUNTING TREATMENT:

Deloitte Haskins & Sells LLP, Chartered Accountant vide Certificate dated 23.11.2018 has certified that upon the Scheme becoming effective, Transferee Company shall account for the amalgamation of the Transferor Company pursuant to the Scheme in accordance with Ind AS 103 prescribed under Section 133 of the Act, as notified by the Companies (Indian Accounting Standards) Rules, 2015 and generally accepted accounting principles, as amended from time to time, which are filed at page nos.200 to 202 of the petition.

IX. The Learned Counsel for the Petitioner Companies therefore urged this Tribunal to approve the Scheme of Amalgamation.

X. OBSERVATION:

i. We have heard the Learned Counsel appearing for the Petitioner Companies and perused the material papers on record including affidavits filed by Statutory Authorities. After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal is of the opinion that there are multiple objections raised by the Regional Director and the Official Liquidator which have not been satisfied to the complete satisfaction of the respective statutory authorities. It is further seen that an Application to amend the scheme has also been moved, which is also pending. Therefore in view of the above multiple observations and major amendment to the scheme, this Tribunal is of the opinion that

Sdl

the scheme in its present form cannot be sanctioned. We therefore, hereby reject the instant scheme with liberty to the petitioner companies to approach afresh after making proper rectifications to the proposed scheme.

ii. With the above observations, this Company Petition stands disposed of.

DR. BINOD KUMAR SINHA
MEMBER (TECHNICAL)

BHASKARA PANTULA MOHAN
MEMBER (JUDICIAL)

Syamala